

26STCV10183 26STCV10183

County: los-angeles

Division: Civil Law and Motion

Department: 224

Hearing date: 2026-09-15

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Case Number: 26STCV10183 Hearing Date: September 15, 2026 Dept: 224

KDIC v. Park et al.,

TENTATIVE RULING

The demurrer to Plaintiff's sole cause of action for Breach of Guarantee Agreement is SUSTAINED, with 20 days' leave to amend.

ANALYSIS

Introduction

On March 30, 2026, Plaintiff Korea Deposit Insurance Corporation ("KDIC"), a Korean corporation suing as Trustee for the Bankrupt Mirae Savings Bank Co., Ltd., filed this action alleging a single cause of action for breach of a Guarantee.

On May 18, 2026, Defendant filed the instant Demurrer to Plaintiff's Complaint.

On September 1, 2026, Plaintiff filed an Opposition.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP § 430.41)

Defense Counsel's Declaration, executed on May 18, 2026 provides that Counsel were unable to meet and confer pursuant to Code of Civil Procedure section 430.41. Nonetheless, the Court exercises its discretion to proceed on the merits of the demurrer. The Court notes that in the future the parties must comply with CCP 430.41's requirements to confer.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Statute of Limitations

Defendant demurs to the sole cause of action in the Complaint on the ground that it is time-barred by the applicable statute of limitations for a breach of written contract claim, and further that the Complaint fails to allege sufficient facts to invoke the doctrine of equitable tolling.

California Code of Civil Procedure section 337 provides a four-year statute of limitations for "[a]n action upon any contract, obligation or liability founded upon an instrument in writing." (Cal. Code Civ. Proc. § 337(a).) This statute of limitations governs an action to enforce a written guarantee agreement. A cause of action for breach of contract accrues at the time of breach. (Cochran v. Cochran (1997) 56 Cal.App.4th 1115, 1120.)

A statute of limitations defense may be raised by demurrer only where the untimeliness appears clearly and affirmatively on the face of the complaint; it is not sufficient that the complaint shows the action may be barred. (Committee for Green Foothills v. Santa Clara County Bd. of Supervisors (2010) 48 Cal.4th 32, 42.) Where a complaint shows on its face that a claim is untimely, the plaintiff bears the burden of pleading facts establishing a basis for tolling. (E-Fab, Inc. v. Accountants, Inc. Services (2007) 153 Cal.App.4th 1308, 1315-1316.)

Equitable tolling requires a showing of three elements: (1) timely notice to the defendant; (2) lack of prejudice to the defendant; and (3) reasonable and good faith conduct on the part of the plaintiff. (Saint Francis Memorial Hospital v. State Dept. of Public Health (2020) 9 Cal.5th 710, 724.) Where equitable tolling applies, the limitations period is suspended for the duration of the first proceeding and the tolled interval is then added to the end of the limitations period. (Lantzy v. Centex Homes (2003) 31 Cal.4th 363, 370-371.)

Here, the Complaint alleges that the Loan Agreement was amended by the Supplementary Agreement to set a maturity date of May 26, 2013, that Defendant executed the Guarantee on February 26, 2013, and that One and J defaulted on the Mirae Savings Loan. (Complaint ¶¶ 9-11, 13.) Accordingly, the Complaint adequately alleges that the breach of the Guarantee occurred no later than May 26, 2013. Thus, as alleged, the four-year statute of limitations under Code of Civil Procedure section 337 ran on or about May 26, 2017. Plaintiff's Complaint was filed on March 30, 2026, nearly nine years past the expiration of the limitations period. The claim is therefore untimely on the face of the Complaint, and Plaintiff must plead facts sufficient to invoke tolling.

As to the first element of equitable tolling, the Complaint alleges that Defendant was duly served with process in the Korean Litigation commenced May 10, 2016, appeared through counsel, and litigated vigorously, and that Defendant received notice of and protested Plaintiff's 2019 enforcement efforts. (Complaint ¶¶ 13-14, 17.) Accepting these allegations as true, as the Court must on demurrer, the Complaint adequately alleges timely notice.

Plaintiff concedes, however, that the claim accrued on May 26, 2013, that the limitations period was suspended when the Korean Litigation was filed in May 2016, and that it resumed when the Korean Litigation concluded in November 2017. (Opp. at p. 13.) Taking that concession at face value, the tolled interval is approximately eighteen months, which, added to the end of the four-year period, would extend the deadline to no later than the end of 2018. (Lantzy, supra, 31 Cal.4th at pp. 370-371.) This action was filed on March 30, 2026, more than seven years later. Equitable tolling based on the Korean Litigation therefore cannot render the Complaint timely, and Plaintiff does not argue otherwise; it relies instead on equitable

estoppel to account for the remaining period.

Further, the Complaint alleges only that "Plaintiff acted reasonably and in good faith pursuing the Korean Litigation." (Complaint ¶ 22.) This is a conclusion of law, which the Court does not accept as true on demurrer. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A plaintiff must demonstrate that its late filing was objectively reasonable under the circumstances and subjectively in good faith. (*Saint Francis*, supra, 9 Cal.5th at p. 729.) The Complaint alleges no facts explaining why Plaintiff did not file this action following the Korean Judgment in 2017, following the partial enforcement in 2019, or concurrently with the Recognition Action in May 2025. Equitable tolling is a narrow form of relief available in unusual circumstances and does not extend to a garden variety claim of excusable neglect. (*Id.* at p. 730.)

The Court does not reach the second element. Defendant's prejudice arguments rest on extrinsic facts regarding the unavailability of witnesses and documents and the burden of defending three related actions, none of which appear on the face of the Complaint.

Thus, Plaintiff's sole cause of action for Breach of Guarantee Agreement is untimely as pled.

Equitable Estoppel

Plaintiff argues in opposition that Defendant is independently estopped from asserting the statute of limitations. Equitable estoppel is distinct from equitable tolling; it operates after the limitations period has run and addresses the circumstances in which a party will be estopped from asserting the defense because his conduct induced another to forbear suit within the limitations period. (*Lantzy*, supra, 31 Cal.4th at p. 383.) Its elements are that the party to be estopped was apprised of the facts, intended that his conduct be acted upon or acted such that the party asserting estoppel had a right to believe it was so intended, that the party asserting estoppel was ignorant of the true state of facts, and that it relied upon the conduct to its injury. (*Citizens for a Responsible Caltrans Decision v. Dept. of Transportation* (2020) 46 Cal.App.5th 1103, 1128.)

The Complaint does not plead estoppel. Paragraph 22 invokes equitable tolling alone, and nowhere does the Complaint allege that Defendant's conduct induced Plaintiff to forbear from filing a direct action on the Guarantee, that Plaintiff was ignorant of the true state of facts, or that Plaintiff relied on Defendant's conduct to its detriment. The historical facts recited in the Complaint — Defendant's appearance in the Korean Litigation, his failure to seek further review of the Korean Judgment, and his protest of the 2019 enforcement efforts — may be consistent with the theory Plaintiff now advances, but the inducement, ignorance, and reliance elements must be pleaded, not inferred from a brief.

Defendant requests that the demurrer be sustained without leave to amend, arguing that paragraph 21 of the Complaint is an allegation destructive of the cause of action because it concedes the Guarantee was enforceable at all relevant times. Leave to amend is properly granted where there is a reasonable possibility the defect can be cured, and the plaintiff may make that showing for the first time in opposition or at the hearing. (*Blank*, supra, 39 Cal.3d at p. 318; *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.)

This is the first challenge to the pleading, and Plaintiff has not yet had an opportunity to plead facts bearing on equitable estoppel, or additional facts supporting equitable tolling for the period between November 2017 and March 2026.

Leave to amend is granted to allow Plaintiff to allege further facts supporting the application of equitable tolling and equitable estoppel.

Conclusion

Accordingly, the demurrer to Plaintiff's sole cause of action for Breach of Guarantee Agreement is SUSTAINED, with 20 days' leave to amend.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.